

RH

RH, Q3 2026 Earnings Call, Dec 11, 2025

Thu Dec 11 2025 Earnings Call Transcript

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Summary

NEW

Key Takeaways

Byline: The RH Q3 2026 Earnings Call, held on December 11, 2025, discussed the company's financial performance, growth strategies, and response to industry and macroeconomic challenges. Key topics included revenue growth, tariff impacts, international expansion, and investments in strategic initiatives.

Key Financial Results

- Revenue increased 9% in the third quarter and 18% on a 2-year basis.
- Adjusted operating margin was 11.6% , below the guidance midpoint due to higher tariff expenses and opening expenses.
- Adjusted EBITDA was 17.6% .
- Free cash flow generated in Q3 was \$83 million .
- Year-to-date free cash flow reached \$198 million , on track to achieve the outlook range of \$250 million to \$300 million for the year.
- Net debt at the end of the quarter was \$2.427 billion , down \$85 million from Q2.
- Excess inventory is estimated at \$300 million , with inventory down 11% versus last year and down \$82 million versus the second quarter.

Business Segment Results

- The company is gaining market share from fragmented to the trade design showrooms, regional high-end furniture stores, and local independent boutiques.
- Share gains on a 2-year basis range from a low of 12 points to a high of 28 points .
- The RH Ocean Grill at RH Newport Beach is the first \$20 million-plus restaurant, expected to reach the mid- \$20s in the second full year.
- The first freestanding RH Interior Design Office in Palm Desert, California, is generating \$1 million a month in design business in 3,000 square feet with rent of \$200,000 a year.

Capital Allocation

- Real estate assets have an estimated equity value of approximately \$500 million , planned to be monetized opportunistically.

Industry Trends and Dynamics

- The housing market is experiencing its worst conditions in almost 50 years .
- Tariffs are disrupting supply chains and driving higher prices.
- Construction costs post-COVID have doubled across the industry.

Competitive Landscape

- The company is building a brand with no peer, generating industry-leading growth with high teens adjusted EBITDA margin.
- RH is establishing a global interior design firm that is moving the brand beyond presenting and selling products to conceptualizing and selling spaces.

Macroeconomic Environment

- There have been 16 different tariff announcements over the past 10 months , resulting in significant resourcing, product delays, and price negotiations.
- Existing home sales are on track to average 4.07 million over the 3 years from 2023 to 2025 with a population of 341 million .

Growth Opportunities and Strategies

- Launching the most prolific product transformation in the history of the industry, with a new concept expected to reaccelerate growth in the spring of next year.
- Building an iconic global selling platform.
- Developing a global hospitality business to generate brand awareness, traffic, and cash flow.
- Innovating and investing during uncertain times to create long-term strategic separation.
- The company is focused on building great stores in Paris, London, and Milan.
- The company bought the Michael Taylor brand and owns all the IP.

Financial Guidance and Outlook

- For the fourth quarter, revenue growth of 7% to 8% , adjusted operating margin of 12.5% to 13.5% , adjusted EBITDA margin of 18.7% to 19.6% .
- The Q4 outlook includes an approximate negative 200 basis point operating margin impact from international expansion investments and start-up costs and a 170 basis point impact from tariffs, net of mitigations.
- Fiscal year 2025 outlook: revenue growth of 9% to 9.2% , adjusted operating margin of 11.6% to 11.9% , adjusted EBITDA margin of 17.6% to 18% , and free cash flow of \$250 million to \$300 million .
- The fiscal year 2025 outlook includes an approximately negative 210 basis point operating margin impact from investments to start-up costs to support international expansion and a 90 basis point impact from tariffs net of mitigation.

Q & A Highlights

The earnings call Q&A revealed key analyst interests. Analysts were keen to understand the impact of the **RH Paris** opening on future international expansions, especially **RH Milan** and **RH London**. They also probed into the company's pricing strategies amidst tariff fluctuations and sought insights into the upcoming new collection launch, along with its potential impact. Furthermore, analysts questioned the company's approach to balancing growth initiatives with profitability targets, and the dynamics of the furniture market, including market share and demand trends.

International Expansion

• **Q: Can you provide more details on how the demand book is developing for RH Paris, and how RH Paris has influenced your pro forma expectations ahead of RH Milan and RH London?**

• A: **RH Paris** is quite different, being the first gallery with hospitality, unlike **RH England** which is two hours from **London** with less traffic. The company had to open a portfolio of galleries, including **London**, before they wanted to, to set a tone. The goal is to build great stores in **Paris, London**, and **New York**. **RH New York**, opened in **2018**, served as a bridge to **Europe**. **Milan** is a prime capital for design and fashion, hosting the biggest design show, **Salone**. **RH Paris** is a unique, smaller gallery with a freestanding interior design office. It features the first world of **RH**, an immersive experience, and a rooftop restaurant. Lessons from **Paris** are influencing tweaks in **Milan** and **London**. The company is learning about the customer, the importance of the world of **RH**, and the need for multilingual staff. The architecture and design library, initially built in **RH England**, is being added to the entry of **Milan** to communicate the brand's truth. The company is also exploring renting out these spaces for events. The team is learning a ton and will be more prepared and efficient for future builds. The demand on the core business is strong, with a significant ramp in demand in the weeks following the opening. The company is also seeing international design jobs and a diverse clientele.

Pricing and Tariffs

• **Q: Can you discuss how customers responded to price increases in Q3, the elasticity you're seeing from higher price points, learnings, and how you're thinking about the right price points for the brand, and if RH will continue to take prices further depending on where tariffs go?**

• A: The company is learning and has taken many price increases this year due to tariff movements. The company hopes for fair enforcement of tariffs to prevent foreign manufacturers from gaining an unfair advantage. The customer will have to conform as costs rise, which is normal with inflation.

• **Q: Is the guidance for the fourth quarter, which calls for a slowdown in top line and some tariff absorption, a signal that you're running into limitations on managing tariffs with price, and should we consider that as we factor our models for next year, not only did that put a little bit of a drag on the top line, but also we should consider that you may have to absorb some more tariffs into next year?**

• A: The tariff impact has not materially changed from a basis point perspective. The company experienced tariffs on back order and special order goods in Q3 due to timing, and this will flow a little into Q4. The company is navigating the tariff situation with pricing, mitigation, resourcing, vendor partnerships, and price increases. The company thought the President was going to like moving goods to **Vietnam**. The company read it wrong.

New Collection

• **Q: Can you provide more details on the new collection that you're looking to roll out next year, how you're thinking about the timing, and what it could look like as we think about some of the building blocks for next year?**

• A: The company is very excited about the new collection, calling it the biggest incremental move they've ever made, targeting the largest architectural block in aesthetic, especially at the high end. The target is to launch it at **Salone** in **Milan**, and the company believes it could be worth a few billion dollars over the next several years and become the biggest part of the brand. The company bought **Michael Taylor Designs** and owns all the IP.

Growth and Profitability

• **Q: Would it make sense to slow the pace of all the initiatives and aim for a little bit more predictability in light of this very dynamic environment in that case, profitability might come a little higher as a result, or is your theory at this point we're going to drive top line growth at all costs and the profitability will eventually come?**

• A: The company likes the discipline of being a public company and reporting earnings quarterly. The company wants to do something great and be the best in the world at what they do. The company's strategy is to do what they love with people they love, for people that love what they do. The company wants to make moves, take market share, and create strategic separation on the upside, ready for the turn. The company is comfortable with paying down the debt and has various options for managing it.

Furniture Market

• **Q: Can you talk about the backdrop, how the customer changed the demand for furniture, how your current lines are resonating, and then barring anything in the backdrop getting worse, can we assume that free cash flow stays positive from here on out?**

• A: It is hard to assume anything will be certain, given the current global situation. The company expects free cash flow to remain positive, but there are many unpredictable factors. The company is not trying to be flat or up 3%; they are making moves and creating strategic separation. The company is super positive but says it's going to be predictably unpredictable. There's still \$300 million of inventory coming down, and there's a reduction in capital spending.

• **Q: Curious if you could give us a sense of what you're seeing from a dislocation standpoint with the majority of your share gains coming from those channels?**

• A: The company believes it has been the biggest disruptive force at the high end of the business over the last 10 years. The company used to track how many independent high-end boutiques that were. The company believes most of the share came from the higher end, the showrooms, the independents, the regional furniture stores, and the **Ethan Allen** of the world. The company likes how their business has been performing from a market share point of view. The company is considering adding more home accessories and may relaunch the curiosity book at some point.

Show The Company's Guidance And Outlook

The RH Q3 2026 earnings call transcript provides financial guidance for the fourth quarter of fiscal year 2025 and the full fiscal year 2025, along with management's outlook on various aspects of the business and external factors. The guidance includes revenue growth, adjusted operating margin, and adjusted EBITDA margin for both periods. The outlook covers topics such as international expansion, tariffs, housing market conditions, and strategic initiatives.

Quarterly Guidance

- Revenue growth of 7% to 8%.
- Adjusted operating margin of 12.5% to 13.5%.
- Adjusted EBITDA margin of 18.7% to 19.6%.

Annual Guidance

- Revenue growth of 9% to 9.2%.
- Adjusted operating margin of 11.6% to 11.9%.
- Adjusted EBITDA margin of 17.6% to 18%.
- Free cash flow of \$250 million to \$300 million.

Outlook

- Includes an approximate negative 200 basis point operating margin impact from investments and start-up costs to support international expansion and a 170 basis point impact from tariffs, net of mitigations for the fourth quarter.
- Includes an approximately negative 210 basis point operating margin impact from investments to start-up cost to support international expansion and a 90 basis point impact from tariffs net of mitigation for the full fiscal year.
- The company is gaining market share from fragmented to the trade design showrooms, regional high-end furniture stores and local independent boutiques, and also from better furniture-based national brands.
- The company plans to monetize real estate assets with an estimated equity value of approximately \$500 million opportunistically as market conditions warrant.
- The company is making progress on its goal of reducing excess inventory estimated at \$300 million , with inventory down 11% versus last year and down \$82 million versus the second quarter.
- The company believes the launch of their new concept in the spring of next year will reaccelerate growth and create another step change in their business.
- The company is building an iconic global selling platform.
- The company is developing a global hospitality business that generates significant brand awareness, traffic and cash flow.
- The company is establishing a global interior design firm that is moving the brand beyond presenting and selling products to conceptualizing and selling spaces.
- The company is in the third year of the worst housing market in almost 50 years .
- Tariffs are disrupting supply chains and driving higher prices.

✓ Call Participants

EXECUTIVES

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Chairman & CEO

Jack M. Preston
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ANALYSTS

Jonathan Richard Matuszewski
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Presentation

Operator

Good day, everyone, and welcome to the RH Third Quarter 2025 Earnings Call. As a reminder, this call is being recorded. I would now like to hand the call over to Ms. Allison Malkin. Please go ahead, ma'am.

Allison C. Malkin
Senior Managing Director

Thank you. Good afternoon, everyone. Thank you for joining us for our third quarter fiscal 2025 earnings call. Joining me today are Gary Friedman, Chairman and Chief Executive Officer; and Jack Preston, Chief Financial Officer.

Before we start, I would like to remind you of our legal disclaimer that we will make certain statements today that are forward-looking within the meaning of the federal securities laws, including statements about the outlook of our business and other matters referenced in our press release issued today.

These forward-looking statements involve a number of risks and uncertainties that could cause actual results to differ materially. Please refer to our SEC filings as well as our press release issued today for a more detailed description of the risk factors that may affect our results. Please also note that these forward-looking statements reflect our opinions only as of the date of this call, and we undertake no obligation to revise or publicly release the results or revision to these forward-looking statements in light of new information or future events.

Also, during this call, we may discuss non-GAAP financial measures, which adjust our GAAP results to eliminate the impact of certain items. You will find additional information regarding these non-GAAP financial measures and a reconciliation of these non-GAAP to GAAP measures in today's financial results press release.

A live broadcast of this call is also available on the Investor Relations section of our website at ir.rh.com. With that, I will now turn the call over to Gary.

Gary G. Friedman
Chairman & CEO

Great. Thank you, Allison. Good evening to those of you on the East Coast, and good afternoon on the West Coast. To our people, partners and shareholders, **we continue to generate industry-leading growth with**

revenue increasing 9% in the third quarter and up 18% on a 2-year basis, demonstrating the disruptive nature of our brand despite the worst housing market in almost 50 years in the polarizing impact of tariffs.

Adjusted operating margin of 11.6% was **below** the 12.5% midpoint of our guidance due to higher-than-forecasted tariff expense on prior period special order and back order sales delivered in the quarter and higher-than-expected tariffs opening expenses. Adjusted EBITDA was 17.6%, and we generated \$83 million of free cash flow in Q3. Year-to-date free cash flow reached \$198 million, and we are on track to achieve our outlook range of \$250 million to \$300 million for the year. Net debt at the end of the quarter was \$2.427 billion **down** \$85 million from Q2. We ended Q3 with real estate assets that we believe have an estimated equity value of approximately \$500 million and that we plan to monetize opportunistically as market conditions warrant.

Additionally, we are making progress on our goal of reducing excess inventory estimated at \$300 million with inventory down 11% versus last year and down \$82 million versus the second quarter. While a meaningful portion of our market share gains are coming from the fragmented to the trade design showrooms, regional high-end furniture stores and local independent boutiques, we are also gaining share from the better furniture-based national brands, as you can see from the table below.

I would point out that **our share gains on a 2-year basis range from a low of 12 points to a high of 28 points**. We find it fascinating that the market chooses to reward companies that set remarkably low expectations and slightly beat them versus setting high expectations as we do and at times miss them, while still meaningfully outperforming our industry.

Let me turn to our outlook. We are providing the following updated financial outlook, reflecting our year-to-date performance and our current trends. For the fourth quarter, revenue **growth of 7% to 8%**, adjusted operating margin of 12.5% to 13.5%, adjusted EBITDA margin of 18.7% to 19.6%. **The above outlook includes an approximate negative 200 basis point operating margin impact from investments and start-up costs** to support our international expansion and 170 basis point impact from tariff, net of mitigations.

Fiscal year 2025. **Our current outlook now is revenue growth of 9% to 9.2%**, adjusted operating margin of 11.6% to 11.9%, adjusted EBITDA margin of 17.6% to 18%, and free cash flow of \$250 million to \$300 million. **The above outlook includes an approximately negative 210 basis point operating margin impact from investments to start-up cost to support our international expansion and a 90 basis point impact from tariffs** net of mitigation.

"In the short run, the market is a voting machine. But in the long run, it is a weighing machine" - Benjamin Graham. We are a company that has planned the long game. Historically innovating and investing during uncertain times. We also believe post this high investment cycle and historically low housing market, the weighing machine, as it has done over a 25-year history, will accurately reward us with the truly unique high-performance brand we are building. On the other hand, there is no denying what an unusual time it is in our industry. And we also believe it's not a time to underestimate risk.

We're in the third year, the worst housing market in almost 50 years. In 1978, there were 4.09 million existing homes sold in the U.S. when the U.S. had a population of 223 million people. **We are on track to average 4.07 million existing homes sold over the 3 years from 2023 to 2025 with a population of \$341 million, or 53% higher than 1978.** This is a market we've never seen before.

Not a time to underestimate risk, **tariffs are disrupting supply chains** and driving higher prices. There have been 16 different tariff announcements over the past 10 months that have resulted in significant resourcing, product delays, out of stocks, and driven multiple rounds of price negotiations and increases. Despite **the chaos**, we continue to demonstrate our ability to gain meaningful market share, while aggressively investing in strategies that we believe will create long-term strategic separation.

While not a time to underestimate risk, also not a time to run from it. It's important to separate the signal from the noise. And remember, necessity is the mother of invention. Our most important innovations were

birth during the most challenging and uncertain times. Our strategic separation is a result of innovating and investing during these uncertain times, and this time is no different. Launching the most prolific product transformation in history of our industry and believe the launch of our new concept in the spring of next year will reaccelerate our growth and create another step change in our business.

We're building an iconic global selling platform that will likely never be duplicated in our lifetimes.

Construction costs post-COVID have doubled across the industry, making it very difficult to emulate our immersive platform. At the same time, we have created new equally immersive physical experiences **that are massively more** capital efficient than we plan to unveil on our next call -- on our call next quarter.

We just opened what might be the most beautiful and talked about retail experience in the world and arguably the most important city in the world, especially if your vision is to build a global luxury brand. You know which one I'm talking about. RH Paris, you have to see it to believe it.

Developing a global -- we are developing a global hospitality business **that generates significant brand awareness**, traffic and cash flow. **We have built a powerful restaurant company** that is seamlessly integrated into our core business that will generate operating income that represents, on average, 65% of the aggregate galleries rent they reside in.

The RH Ocean Grill at RH Newport Beach is our first 20 million-plus restaurant, that **we believe will reach the mid-20s in the second full year**, and its cash flow next year might cover the rent for the entire 90,000 square foot Gallery. We're establishing a global interior design firm that is moving the brand beyond presenting and selling products to conceptualizing and selling spaces.

We opened our first freestanding RH Interior Design Office in Palm Desert, California, with no product except for 2 small sitting areas in front of our designers' offices. There's 4 offices in the building and a workspace with clients. It's a real freestanding customer-facing design firm, which really don't exist in the world, if you think about it. It's like finding a dentist, you move to a new area and you buy a new home, you need a dentist, what do you do? You Google it, you ask a friend, like where do you find an interior designer? I mean you can go online, I don't know how that's going to really help. But if you think about it, the world of interior design is not a customer-facing business. And we opened our first freestanding interior design office in Palm Desert with no product. It's a real freestanding customer-facing design firm, and is generating \$1 million a month in design business in 3,000 square feet with rent of \$200,000 a year. You can do the math.

All of which is resulting in building a brand with no peer, while generating industry-leading growth with high teens adjusted EBITDA margin. Imagine what our performance will look like in a robust housing market as we cycle and leverage these investments. Never underestimate the power of the few good people who don't know what can't be done, especially these people. Carpe Diem.

Operator, we'll now open the call to questions.

Question And Answer

Operator

[Operator Instructions] Our first question comes from Steven Forbes from Guggenheim Securities.

Steven Paul Forbes

Guggenheim Securities, LLC, Research Division

Gary, Jack. Gary, you obviously mentioned RH Paris, but curious if you can maybe give us some color on how the demand book is building, noting it's early. And the reason I asked is just curious if you can maybe help inform us how RH Paris has influenced your pro forma expectations ahead of RH Milan and RH London?

Gary G. Friedman

Chairman & CEO

Sure. Well, RH Paris is, one, it's really quite different. While we did open our first Gallery with hospitality, it was really -- we're 2 hours out of London at RH England. There's not a lot of traffic out there as the known how our business has developed, we kind of talked about it last quarter. But many of the other galleries, as I've spoken about, we didn't open in particularly the way we believe we should open to acquire the RH Paris and RH London, which we think are one-of-a-kind locations. We had to take a kind of a portfolio of galleries and opened some of those before we wanted to see, that's where we opened London.

I've already seen -- excuse me, to open something that kind of set a tone. I think people know in Europe, Americans aren't really known for building luxury brands were not really looked upon by the Europeans that having great taste or style. And all the -- really all the luxury brands are from Paris or Italy, the U.K. has a couple, and you can argue that we have a couple -- I argue that Ralph Lauren, a luxury brand, a very small part of Ralph Lauren business is luxury, the biggest part of the business is more of a department store-based higher-end business and not luxury and a giant outlet business. And that's not to say anything bad about Ralph Lauren. It's an incredible company, an incredible brand. It's just not a real focused luxury brand.

You can argue that this -- the only 1 we really had fewer luxury brands in many ways was Tiffany and now the French own it, right? So the road we're on the path we're on, it's a tricky one. It's treating one to travel. We use the metaphor of climbing the luxury mountain, and Eri coined the phrase, if you get higher and higher in the mountain, it's where the air gets thin and the odds get slim. No one really made this time. And from -- especially from the level we started at 25 years ago.

And so we're -- again the next few moves we're making are really important moves. I heard several years ago that someone asked probably the famous guy in the luxury world, and I didn't hear him say this, so I'm not going to say who said it, but you can imagine there's only a couple of people have built really the best luxury platforms in the world. But I heard this -- someone asked the question, how do you build a luxury brand in China and the response was you build great stores in Paris, London and New York. And I heard that years ago, and I've always thought about that as -- I thought about RH -- and how do we unveil this brand. We built RH New York, and we opened it in 2018. And we said that was our bridge to Europe. So we did it a little backwards. And as we think about it for our business, it's really -- probably Paris, London, Milan and New York. Because Milan is really the 1 of the prime capitals of the world, not only for design, but also for fashion. But it's where the biggest design show in the world is Salone where 500,000 people go once a year, and it's also the time we're going to open RH Milan.

But Paris, we pushed ourselves to another level and it's not a particularly large Gallery, but it's very unique, and I can describe that in the last call. And if you haven't seen it, we've had a video, a video on the website or no. Yes, it's a video. We're also making kind of a documentary video like we have some of our other iconic buildings, and you'll see that come out probably in the next couple of weeks.

But -- we're bragging about it, but it might be 1 of the most beautiful and aspirational and firing retail stores that was ever created. And it's a lot of natural things that we loved about it, 1, it's seen only building on the San Jose that doesn't have an entrance on the San Jose. You can't enter the building. You enter through 22-foot gold leaf gate, and you can go down 195 steps to the front door, and we built a freestanding interior design office there. **We're able to get a building approved** and there's so many elements of it. It's where we built the first world of RH, which is an immersive experience that brings to life all the places and spaces that we've built around the world and we think it's an important part of communicating who we are connecting with consumers.

While we only totally, I think, in hospitality about 150, 155 seats, so it's really like a normal restaurant, but it's really 2, because it's in 2 smaller spaces. One is on a terrace, it's leased as restaurant, and we invented some very new dishes there that we're going to be rolling out in the U.S. because **they're so good and also in the city, which is on the top floor and the rooftop**. And the rooftop -- so happy we figured out how to work with fosters and partners that they -- when we saw the building we went 5 stair latter thing to get on the roof side. We can't believe see the Eiffel Tower and the Grand Palais, and everything we've got like, is there anyone use the rooftop and there's no way to get to the rooftop. As you said, you have to build an elevator, but you'll never get an elevator approved, because it block people's views of the Eiffel Tower and poster and partners,

why we don't want to work with the best people is they said, well, maybe we can design a rooftop, that's design an elevator that hatch opens in the roof and the glass elevator pops up and then it disappears. And I said, well, you ever done that before they said no, but like we'd love to do things that haven't been done before. But it's like once you see the rooftop, you couldn't then see it. Once you're up there, you're saying, we got to figure out how to activate this.

And what's interesting is about 40 seats, I think, on the rooftop. And unfortunately, right now, the rooftop is closed because **weather in part gets pretty grim in the winters**, and we can't evacuate the roof if it starts to rain and pours -- not enough seats to relocate everybody at the level below. But the rooftop, when it was opened, the first few months, we were open, **it is the highest grossing part of the restaurant operation in the 2 restaurants**. We're doing more there per seat than anywhere else.

So just, again, learning about creating incredible spaces that has made us kind of rethink some of the work in Milan and some of the work in London and some tweaks there. And then we found out that we're building this world of RH and we have a space with the building tariffs fact and we thought like I don't know what we put a bar in here. And like try to make it a lounge and so we put a bar in there, then we feel like we found out you could -- you're going to have a bar in Paris unless you have food and you couldn't just have nuts and snacks. So we had to have like a small menu, so we had a small menu. And the day we opened, we served our first meal in a place that -- in our mind, wasn't even a restaurant. And on opening night, place that was packed. And now we actually had to kind of retrofit it and put real tables in there, if they were big enough and now we're certainly most of the menu. Yes. And it's a great offset as we've lost the seats on the roof.

But there's just been so many lessons and so much we're learning about the customer and who knows us and who doesn't know, if and how truly international, the business in Paris is, I mean, we've said the list in front of me right now, like of all the design jobs we have in Majorca and Morocco, and like you name it, like the Middle East and we're like the design jobs that the team working on. It's like truly a global store and the clientele is incredible. But so many people don't know us. And, yes, the team is walking people up to the world of RH and walking people through and people, I think **they're kind of shocked by our body of work** because they -- many still don't know us.

And so just the thought of how important that world of RH is and what a tool that is for our teams to kind of not just try to explain who we are, try to pull it up on the website, but walk people into a really immersive experience that brings our spaces and places for life and speaks to our authority and architecture and interior design and landscape architecture as all of our buildings are representatives of those kind of core competencies.

And we've put -- at the last minute, we decided the entry with a small little entry. We tend to think it was communicated enough about our truth. And so we -- I don't know we had 4 weeks to go, 6 weeks to go, we decided to build an architecture and design library like in RH England, and now you can't see it, it's so incredible. You walk in, you look through the main doors and if you've seen pictures of the Gallery, you've seen the Vitruvian Man and the RH Design ethos, you have to interact with -- I think most people stop and read it and take pictures in front of it.

And then left to right, we have these fountains -- beautiful fountains. And above the fountain, we came up with this line, actually my wife came up with the lines, I thought I wrote a really great letter to Paris and she read it and she said, "Give me a day" and I said, what do you mean, like you don't like at. Yes. Got them secure and then she wrote that last night, last line, if you -- if any of you got the invite to our party, we use the letters and invite with music and so on and so forth and use it for the opening of our video. And it says, in Paris, the measure is eternity, this we know and have built accordingly. And you walk into that entry and you can't help but read that as you go left and right around the design ethos. And then you go to this immersive architecture and design library. Yes, there's no product. You don't see it just like doesn't look at your furniture store at all to anybody, right? You actually see we now own 2 copies at the architecture -- the 10 books on architecture where the first modern printing were in 1521, and we've got 1 in French. And we have 3 iconic French architects, the Laurence Housman and we see the third and then we've got Vitruvian da Vinci and radio displayed with bus, then historic books, and so on and so forth. And it's something you've never seen

anywhere, right? I never even seen more, but we built our first one in RH England because there was a library there, and we came up with the idea, and we traded something, I think, really meaningful. And I remember telling the team, the night before we opened, we were in architecture in design library and said this might be the most important work we did here and because it really communicates our truth and why we do this and what we believe in.

And so now we went back and we've now -- you're going to walk into the entry of Milan, which kind of looks like a lobby of a building, look beautiful, but we didn't know to do a couple of touches and a couple of chandeliers. And it didn't really -- like you might have like interact with the person go, "Oh, excuse me, by -- is this a condominium building. Is this -- because it does look like store if you walk in and **you immediately look through this kind of lose into a backyard** and you have to kind of go up and left and right. It doesn't have the brand staircase except for that goes down underground. We did our first underground restaurant. Like everybody is going to go, "Oh, we have a rooftop restaurant this way so that some we have a restaurant that's underground." That's got to skylight in the middle of the park. But we're putting architecture design library now in the entry, and all of a sudden, you're going to kind of go, wait, who are these people?

Like look at Vitruvian, da Vinci, and Palladio, Brunelleschi and Alberti and all the Italian iconic architects shape the way that most of the world was designed and built very early on. That's going to come to life there. We're going to have a world of RH in Milan on it. In a place -- in a space that we probably wouldn't have done anything, and I like -- I don't know, add but the team reconcepted is this incredible lounge. And I think it's going to be an iconic place that will help people understand who we are and what we believe in. And also, these are great spaces that we can rent out and do events that bring the right people into our galleries and we're trying to test the event business because we've got these incredible spaces. And I've said no for I don't know how many years now, 15, 20, my line is always -- our galleries are our homes, and we don't rent our homes. They've turned down [Oscar] parties and family parties like the top artists and everything. And I thought -- we finally did an event we did go to a lot of warriors games, and I'm friends with Joe Lukasik and Nicole Lukasik and Peter Guber, the owners of the Warriors and they posted the NBA All Star and they wanted to use RH San Francisco to do the honors party, the opening party for the NBA All Star weekend, and we did it, and we just got tremendous response and had all the right people there, and they don't think like that maybe we should, for the right -- to attract the right clientele, like our -- we have such incredible spaces.

So we -- and tariffs so far, like right away, Chanel wanted to take the world of RH to hold the dinner and we've been contacting now about like can -- so and so do their fashion show here and take over your galleries for the evening. And so I think we're learning about this idea of like we're doing these iconic spaces and ability to actually -- we have these unique architectural masterpieces and the ability to bring the right people because we have the right place.

And I think it's even more important -- things like everything is moving online, like I think people are dying for experiences. They're dying for authentic connections not only with people, but with places and with history and with beauty and with food, and I mean how many nights can you order DoorDash or Grubhub, I mean I led the services when I get on time and I want to get some delivered, I don't know, about anybody else on the phone, but I'd much rather go somewhere and see people and feel like it somewhere and connected. And I think that's why people still congregate and aggregate. And they're not going to movie theaters so much anymore because that experience is not as unique and differentiated. And maybe we don't want to be in a place where something's topping behind you and so on and so forth. So that 1 I get. But I just think the places that we're building, people like to see, and they like to be there. There's not a lot of places that are public like ours that you can get a meal in and then experience, we're learning in Paris. We're having all these people coming from all the world seeing it, and we're thinking about it like, gosh, we have to have more people in more languages.

We need to ramp the design team faster. Our design team in Paris kind of get overwhelmed. We had no idea that we'd have the traffic we had with the tariffs. Like there's just so many people that came in and we were just overwhelmed. I mean -- and even finding out how early you have to hire people because we go along 10 years. They can't just give a 2-week notice and how we work for you. We kind of got behind in hiring for the restaurants and like we were behind way to fly people from America to kind of help run the restaurant and

cover the shifts and they didn't speak French, and that was important. There's just so many things we're learning, especially bringing hospitality into the high-volume space. So -- but it's just a little about the build. I did my own little math, and I was trying to understand to try to isolate the hospitality business because **the hotel business lost 25% of its fees after the first couple of months** and expect that to be a little off and it's only a tiny bit off with all the seats we launched and the highest productive seats.

So -- but we're thinking that we might be able to attend that rooftop and actually do events there and maybe make -- just as many people, if not more, because we only keep 4, like, 4 people max there. But with the -- just about the staffing of that design, we're learning a ton. And we're way ahead of -- we've done -- team sent some incredible recaps and learnings, and we're going to be so much more prepared and so much more efficient, but the builds are really interesting. So the math I was looking at, I kind of looked at the first 8 weeks because -- well, September was a 5-week month, we didn't -- we lost -- it did help in the first week open on the 5th, which is kind of a day and then the next week started, but -- and I'm trying to isolate just our business. Simply, when we open hold in a market like this, right, you're not shipping to anyone here. You've got no revenues happening and it's interesting what we're learning all around, but this 1 with high volume, high traffic -- high traffic iconic locations, international people coming from all over the place. And the first 8 weeks -- well, I think for the first 8 weeks and I kind of got the 4 weeks of September, we were open in the 4 weeks of October. And then within the next really almost 6 weeks, I had to estimate the last 3 days just to kind of -- because we have the business. **But when you look at the demand on the core business and we haven't seen ramps like this.** The 6 weeks, **the average per week is 62% higher than the first 8 weeks.** And the first 8 weeks actually had more traffic as we -- I think, it's still like the fall, and there was a lot of people in tariff and you had a lot of people coming in, and we still have very good traffic.

But you can tell the team starting to kind of get their feet underneath them. We started -- people are starting to kind of figure out who we are and I trust them. I buy furniture from them. And we have some people that know us because we're looking at America or they travel internationally and they know it's from America. But I didn't expect like the ramp on the core goods that as we open with such good traffic, but I wouldn't have thought 60% to 63% ramp those weeks. So the other week. So when you start to think about that and how that might build, I think it's going to take a while to kind of really understand it. And we got to get our arms around the design opportunity. There's -- I mean, when you look at all the places we're doing worth, and you think, "Oh, man, our designers are going to have to fly here, fly there, and our customers pay for that. Like, we've been flying people from America to all the major cities in the world, so many of the major cities. We've had customers flying our people to Sydney, Australia, to Melbourne, to Shanghai, to all over Italy. I mean, I can't -- it's almost every country, but yes, Middle East, yes, we did -- the Prince of Qatar, right, 4 homes on its compound and like a \$3 million job or something like, but we're doing jobs like hundreds of thousands into the millions, like we just got same as building in New York. I can't talk about it. Disclosure -- we're doing a \$3 million design project in 1 of the most famous mansions in New York City, and then another \$1.8 million project for someone I can't talk about, very famous. And just -- and that's why I think I made the point about the design firm. And so this -- how much that we're learning about Europe and so much we're learning about just the potential of our brand is it's evolving. So long rambling answer, but you started with that -- with a question I could talk about Paris for a long time.

Operator

The next question comes from Max Rakhlenko from TD Cowen.

Maksim Rakhlenko

TD Cowen, Research Division

Great. So Gary, this is the first time that **you guys have taken the pretty outsized price in a while.** Can you just talk about how the customer responded in 3Q? And the elasticity that you're seeing from the higher price points. What are the learnings? And how are you thinking about the right price points for the brand ahead? And depending on where tariffs go, can we actually see RH continue to take prices further?

Jack M. Preston
Chief Financial Officer

And Max, can I just ask a clarifying -- it's Jack, like you're saying you observed Q3 was the first time we raised prices for a while. Is that what you're saying?

Maksim Rakhlenko
TD Cowen, Research Division

Not necessarily the first quarter, but you have taken prices just given where tariffs have gone. So just curious what the elasticity looks like, how the customer is responding.

Gary G. Friedman
Chairman & CEO

We're learning. **We've taken a lot of price increases** this year. We've had a lot of movement in tariffs and character set at 1 level and they went up they're moving around and it takes a while. I mean, everybody from manufacturers to product designers and everybody who's involved in the development process -- and it's, yes. First time we're all trying to navigate this through the same. So I don't know, if maybe it's going to stop moving for a while, but it's a while that we -- yes, we're kind of frozen and -- but I think so far, as long as it's fair to everyone, I think that there are -- I think that there's some businesses **that might be kind of violating the rules**. I think that there is some people that are coming in businesses in other countries that are opening up in the U.S., and they might be making the goods, so they know they might not be bringing them in at the right price, they're trying to -- yes, I mean there's a lot of things going on, like especially where there's marketplaces and again, you might have manufactured bringing in goods and they're figuring out how to get around tariffs. We hope that any of those kind of things get -- if we're going to all have tariffs, I just make it fair. Don't let some foreign manufacturers come in here -- and those are the people we're trying to stop and there's actually loopholes. They're kind of getting product in here, and I think in next to not being -- and that might be an advantage for certain people for a certain amount of time. But I think that stuff's getting to the administration and hopefully, it will become a fair playing field for everybody. And then if it is, it is. And the market will kind of conform to the reality. I mean the customer is going to have to conform. It's things cost mark, that's what happens. **We've had inflation** forever in this country. Many times, much worse than this.

So I think we just think about, hey, just make it a fair game. Don't let manufacturers come in and open a U.S. entity and their price is really \$1,000 for something, don't let them bring it in for \$100 and pay almost no tariff because they're shipping it to themselves. Yes. So...

Maksim Rakhlenko
TD Cowen, Research Division

Got it. Yes. No, that's helpful. And then Gary, just any more color on the new collection that you're looking to roll out next year? Just how are you thinking about the timing? And just what could it look like as we think about some of the building blocks for next year?

Gary G. Friedman
Chairman & CEO

Yes. We just got back to the trip that we work exclusively on that. And I don't think we've ever been more excited about anything that we've worked on. I mean it's -- and I think we're working harder as essentially we had to just because we want it to, like it's -- like it's -- I think Eri, Lisa, anybody who's put us on the trip would - - that has any perspective of the big moves that we've made over the years, essentially this is going to be the biggest incremental move we've ever made.

And I think it's going to be like a 10-year thing. But it's not only is it a part of our assortment that we're way underpenetrated in, it's -- if you look at the architecture that it's targeting and the home is targeting, it's targeting the biggest architectural block in aesthetic block, especially at the high end. Yes. I mean some of

our data says 60% of homes, \$5 million and above represent this kind of architecture. And it's where we used to be strong and when the launch of modern and contemporary and really the modern book is the modern book and modern is modern. Interiors kind of became contemporary and that's why I consolidate it all together. And then the kind of the major look, that saying too much is -- and where we kind of built a company on more classic, it's -- it's not only big, it's the next trend.

So -- and what we're doing is our best work and our partners best work. I mean, everybody is excited about it, especially after this last trip. And so our target is to launch it at Salone in Milan, the biggest design show in the world, and we have probably the biggest opening parties that anybody's had in Salone, and have the world come see it and talk about it and try to get it into as many galleries and can as quickly as we can. It's what our interior designers and teams are getting -- the asked most about what they're most excited about, we don't really represent it very well.

So -- and the work we're doing is I think is incredible work. And then I think we can't wait, sit back on a plane and go to do some more -- like we just -- it can be so big. So I think it's -- I kind of look at it and I say worth it's a few billion dollars over the next several years. I know it's 5 years or 10 years, but it's -- it could be the biggest part of the brand. It should be, especially with the trend that's going to be powering it over the next -- and that trend should go 15 to 20 years, when you look at the cycles. And this is the first time we're going to actually kind of lead a cycle. We usually say like don't go too early on the wave like a surfer, **you get a false negative**, the wave will go underneath you. Wait until the wave breaks. Let us see people ride that wave, learn from it and then go on the wave. But this one, it's actually the first cycle life I actually was a consumer that bought my first house. My wife is a high-end interior designer and what you actually -- we did never used material designer. It's the first place I ever bought that small condo in San Francisco. And obviously, consumers for that look in my house in Belvedere first half I built, and we did that house, that was a look so -- so I kind of know this one. I actually was like, wow, old enough to look through the cycle here. But that's good and the bad thing, right? But -- why are we -- we didn't even announce that yet, no. Yes. I got to get off stage - - it came out business.

Okay. Yes. So if you guys know we bought Michael Taylor. Michael Taylor Designs, that was -- Michael Taylor, the godfather of the California looks in most famous interior designers at this time in the '80s did the [indiscernible], his famous diamond table in the lobby of the [Derrick Deese]. So we -- and I have the dining table in my Bellevue house. It's -- I've had the Michael Taylor dining chairs and the snacks that really very cool iconic pieces. So we bought the Michael Taylor brand. We own all the IP, and **you'll see a fresh only thing coming given the competition** a little heads up, I better shut up.

Why didn't -- the only thing in the earnings calls, so I'm just going to kind of do this thing when I thought like, no way, in the world AI, I represent [indiscernible], but we bought another company besides that, and so we're well on our way. It's going to be a big deal.

Operator

Up next, we'll take a question from Michael Lasser, UBS.

Michael Lasser

UBS Investment Bank, Research Division

Gary, you wrote in the letter that the way you offer your guidance is you have very high ambitions and at times **you may fall short of that**. Would you make sense to slow the pace of all the initiatives? And aim for a little bit more predictability in light of this very dynamic environment in that case, profitability might come a little higher as a result? Or is your theory at this point we're going to drive top line growth at all costs and the profitability will eventually come?

Gary G. Friedman

Chairman & CEO

I guess, if I thought that I would have wrote that, right? I don't think that's what I wrote. I just think that we all see some funny thing. A lot of people said to me throughout my career, "Hey, a public company and you got to report further the earnings, and it -- you see the things small, and I said, I think that's a choice. I actually like the discipline of being a public company. I actually like that we have to report earnings once a quarter, you got to have report numbers and makes us stop and think and assess and prioritize and so on and so forth. And I like that we -- in a quarterly board meeting, and I like that we have to go through that process and just fill things down and simplify and assess everything. So I don't mind it.

The thing I've learned and I've observed, I think so many people, they get so focused like a quarterly results that becomes their whole mission as a CEO or a leadership team is like, how do we make the quarter and they do a lot of stupid things to make a quarter that aren't -- we're in building or business model building or anything. And I just -- I think it's not a smart way to build something great. And 1 of our Board members grew up in Silicon Valley and she's early fateful team member and everything. And Shelly said, like we're -- we're like a Silicon Valley start-up at we're a semi mature public company. And I think that's a good thing to be. It creates energy. It attracts great people. Great people don't want to come in and just like, "Oh, how are we going to make the next quarter, let's lower our expectations, let's make sure we make it. **That's like a downward spiral** a lot of times.

I mean we want to do something great. We want to do the best in the world at what we do. And that's not for the faint of heart. It's not for everyone, but we don't need everyone to buy the stock. And we don't -- our strategy is really simple here. From a business point of view, it's -- we do what we love with people that we love, for people that love what we do. We're in a few focus groups, don't do stuff like that. We use very personal business to us. And probably reflected the same way shareholders. We have some people who have been with us forever and some people are out of stock and then, okay, they let us sometimes from if you don't love it. It's a free world, but I don't know, like I -- sometimes like in good markets, we're meeting quarters and making quarters in a market like this, this is the time to make moves and take market share and create real strategic separation on the upside of it, ready for the turn. And I don't think anybody is going to be more ready than we are.

Like -- look out when the estimate you think were previous. You look at our 2-year numbers like -- yes, just a handful of -- it's not that many publicly reported people, but if you look at furniture based retailers and a lot of those people even on the list, they sell a lot of accessories and other things, there's not too many that are just focused on furniture that are even -- that every they've been in a store and we say, like, put this company there, well even in California who would we think a competitor like they don't sell anything like that, they're not at our price point or anything. But we took kind of national public players and have at least probably 50% furniture, we're 80% furniture. And so we're going to be more cyclical because of the furniture content, but furniture is best part of the business. And should we lower our ambitions like no, I don't think so. I mean -- feel more stable? I don't know, like -- are we not stable. I don't know like -- high teens EBITDA.

Michael Lasser

UBS Investment Bank, Research Division

Some of my question was on the envision that was more the -- it was more about the pace of initiatives and slowing down to eventually speed up. And you're not going to love my follow-up question in light of that, so I apologize in advance, but...

Gary G. Friedman

Chairman & CEO

I like you, Michael, you have good questions. It makes me think.

Michael Lasser

UBS Investment Bank, Research Division

My second question is, in light of the guidance that for the fourth quarter call for a slowdown in the top line as well as some absorption of the tariff. Is this a signal that you're running into limitations on being

able to manage the tariffs with price and we should consider that as we factor our models for next year, not only did **that put a little bit of a drag on the top line**, but also we should consider that you may have to absorb some more tariffs into next year.

Gary G. Friedman

Chairman & CEO

Do you want to take that, Jack?

Jack M. Preston

Chief Financial Officer

I'm thinking, Michael. The tariff piece, I don't -- we didn't materially change the impact from a basis point perspective. Obviously, that's just representative of cost alone. The other piece that's not calculated on that is the price increase. Gary called out in the letter, 1 of the Q3 items was just the tariffs on the back order and special order goods. Some of that was timing, right, because **we experienced an increase** and expect -- have expected to increase in tariffs. We do our mitigation efforts, we do our resourcing efforts, but it can currently also change prices, but you're never perfect. **You have some delays in the effectiveness of those**, but you're now going to call your customers back and say, "Oh, by the way, the thing you just bought we're going to be importing it at a 20% tariff. So can you give us more money.

So as we read that needle and get all that dialed in, that was some of the things that surprised us in Q3, and it will flow a little bit in Q4. But I don't know that we're ready to say that make a statement like you're describing. It's a dynamic situation. Not to mention looking at competitors, what your competitors do. We don't lose sight of that. So as far as what 2026 looks like, obviously, we're a little early for that. I understand the question and the desire to know. We'll talk about that at the end of March. But I think we're proud of how we've been navigating the tariff situation with pricing, with mitigation, with resourcing, with vendor partnerships, with price increases, everything -- everything that you would expect us to do so.

Gary G. Friedman

Chairman & CEO

Yes. I mean, I'm impressed. **We probably had the most difficult situation** from -- based on where we were sourcing from and what we did and -- we read it wrong. We thought the President was going to like moving goods to Vietnam. And Vietnam is a smart place for us to move goods into and I'll send Vietnam rightly with 47% or 46% tariff and we're like, that was possibly to move it to Vietnam, and it was a lot of work and a lot of effort. We were just getting ramped up and then okay, now where we're going to put it. And then China is going from 1 tariff to another. And there's other places we're moving goods to and moving into the U.S., and **that's a bit chaotic** right now. Like, I don't know -- I again, I kind of look at it all in context, and I'd say -- everything that we're investing in, we're building a restaurant company. I don't know name somebody is ever done restaurants of our quality, integrated into our retail experience, especially a furniture store, not you'll say, well, I hear something sell meat balls or some, right? And -- but -- and actually, we're generating cash, we're paying 65%. It's an offset 65% of the rent of the buildings on average. Some are higher, some are lower.

And -- I think we're 1 of 7 global luxury hospitality companies that own and operate their own business. As people go like, who's your chef? What hospitality companies runs your restaurants? We run them. Where are the chefs. And we obviously have culinary leaders and chefs and we all get together and collaborate, but the reflection of what we love and what we do, and we're getting good at it. We're getting better and better. And like I have an interesting point for -- case what is our average ticket was \$38.

Jack M. Preston

Chief Financial Officer

\$38 in '19.

Gary G. Friedman*Chairman & CEO*

In 2019, yes. So I mean, here's interesting. In fact, we just had our 10-year anniversary in October being in the restaurant business. We opened in Chicago and that restaurant did get -- the partner that we did it with is a great guy, still a good friend and super successful, you really want to do something, some full time, they're doing this. And we just realized most of the chefs driven businesses that are doing hospitality for other people. It's kind of a license to name thing. They're not there -- I mean we had a deal with Brendan and he was -- we had half his time to wow, but then he -- if he had so many other opportunities, and we realize this is turning into a real thing for us, we need to make it a core competency. So we've invested now in many years. And it's like -- but that restaurant in Chicago, that we opened at 5 million its first year. I mean, the estimate was going to do about \$1 million for here in Page 5. It does \$9 million or \$10 million in that case.

Jack M. Preston*Chief Financial Officer*

Yes. And just shy of \$10 million.

Gary G. Friedman*Chairman & CEO*

Just shy of \$10 million. And we opened a second restaurant, second Gallery and a suburb not too far from that, that's doing \$11 million. So you think of **it being cannibalized** more. And we're -- our team is growing and maturing and collaborating and we're getting better and better. And -- but if someone would have said 10 years ago that, hey, how many people want to wake up in the morning go to a furniture store for dinner or for lunch, I don't think anybody would have. So think about that one, like I don't know, should we not have done it because you could have said like, Gary, that was like really hard. Why didn't you do that? We'll do hard things and we do things that are unique and differentiated. And I think because we were more ambitious than others, we think more deeply than others and we're not just managers of something. Managers arrange and organize the status quo. We're leaders and leaders are leading people somewhere they've never been doing things they've never done. And leaders have to be comfortable making others uncomfortable. That's what leaders do because -- and starting with the leaders, the leaders could be somewhat uncomfortable.

So I'm an analyst, sorry if I'm making you uncomfortable. Just what I do. And that's how I know I'm leading that you know you're on the right path. But if you can build things that other people haven't built, and if you can lead, you can create a lot of value, and we believe we're going to create a lot of value, like -- maybe not at this moment, like we look really risky, I guess, because we have debt. But we've said **we're comfortable with paying down the debt**. There's lots of things we can do hey, we've done more 0 convertible notes than anybody in history, I think. We did 4. I think anybody said it 4. I mean yes, who would dent too. And -- at some point, we might tap the convert market. At some point, we may refinance some of the debt at some point, like, who knows, we've got a lot of real estate, and we think we can monetize that over time and our inventory has been high. We're turning inventory into cash and -- but we're -- I'm pretty comfortable, if I tell **I lived on the edge of bankruptcy in my first 10 years**. This is nothing.

Operator

The next question comes from Simeon Gutman from Morgan Stanley.

Simeon Ari Gutman*Morgan Stanley, Research Division*

Gary, maybe 1 question, maybe let's talk furniture. Can you talk about the backdrop? I know **it's been a tough overall market**. Can you just talk about how the quarter -- how the customer changed the demand for furniture? How your current lines are resonating? And then barring anything in the backdrop getting worse, can we assume that free cash flow stays positive from here on out?

Gary G. Friedman

Chairman & CEO

I don't know, if this is the time to assume anything will be a certain way, right? We just had China and Russia fly bombers over Japan. It's like below, as anybody expecting that? And then -- we rallied bombers with pan or fiber jets or whatever like who knows what's going to happen in this world right now. I mean there's a lot of discord and there's a lot of noise. And so I mean we expect **free cash flow to remain positive**. But again, did we expect at any time early in the year that **we were going to have all the tariff announcements, such an unpredictable chaotic way and have to delay our interiors book by 8 weeks**, we think we were going to launch states this year. Yes, we did. And I said the name, okay, sorry about that.

But we -- it's a really unusual time. And we're not trying to be flat or up 3% right now. Like if we're trying to be flat or up 3%, would we be more predictable? We might. I know would that be really good for the long term? I don't think so. I love what we're doing right now. I love the moves we're making right now. I think nobody even get it -- I think people are going to be shocked. I think competition is going to now what? I love our strategy in Europe. But is it more expensive than we thought? Yes, it is. Like, we've built these things during and post-COVID, and **they're way more expensive, and put pressure on short-term cash flow** and sure. But wait to see what we invented. And again, necessity is the mother of invention, put us into a corner, make **things tough for us**, we'll event our way out of it. We've designed, I think, some of the most exciting retail concepts coming like new versions of RH that I think are mind blowing and the cost half as much. And we have other ones that are equally creative that will take probably less than half the time and cost less. And we've got design ecosystems. We have design compounds. We have a interior design office, we just got a lot of things, and that's -- and they're all make the kind of fast.

And so we're -- I think we're pretty responsive strategically. We just don't like to get stuck in the weeds and not see the bigger picture. And -- but we're really excited about where we are with super positive, but can you say things are going to be super profitable in what we've just seen in the last 6 to 12 months, I'd say it's going to be predictably unpredictable. Just what we've all had to navigate deal with. And I mean, there are still changes like who knows or to be a whole new round of tariffs. I mean the spring report could say, hey, this is illegal. And then I have said it's going to be -- if you read the news, it's going to be -- these things happen nice you can talk to those things happen. This change like well -- we'll improvise, adapt and overcome, that's what we do.

Jack M. Preston

Chief Financial Officer

Simeon, on the free cash flow, just like you talked about the \$300 million of inventory coming down, so that this year is kind of a \$200 million figure we talked about. So there's still that element to come. There's -- we talked about reduction in capital spending last call a little bit here. So just -- there's building blocks to maintain positive cash flow going forward. But obviously, there's a lot of unknowns and a lot of uncertainty. So we'll be talking a lot about that and try to drive that result as well.

Operator

Up next, we'll take a question from Jonathan Matuszewski from Jefferies.

Jonathan Richard Matuszewski

Jefferies LLC, Research Division

I appreciate the color on market share, Gary, and it's easy for us to track the public players you outlined in the table, but it's less easy for us to assess the health of the fragmented design showrooms, those regional high-end stores, some of the local independent boutiques. Curious if you could give us a sense of what you're seeing from a dislocation standpoint with the majority of your share gains coming from those channels?

Gary G. Friedman

Chairman & CEO

Yes. I mean, harder for any of us can measure, but yes, I mean, the feedback we get from some of the people that we've acquired and people that we know that I believe we've been the biggest disruptive force at the high end of the business over the last 10 years. Not more. And so especially with what we've done with the new galleries and with the assortment and moving up market and taking the quality up and its level of design up and -- so I think you could -- I mean, we used to track how many independent high-end boutiques that were, right? There used to be 32 between Sausalito and Santa Rosa County and Healdsburg and Napa. And we always said that they all exist because RH had a 6,000 square-foot Gallery in Corte Madera, and most of those boutiques were, I don't know, 3,000 to 15,000 square feet, call the majority of them kind of close to the size we are.

And yes, it was an obvious the assortment. If you didn't get our book, you didn't know how big our assortment was. If you didn't go to our website, you didn't know. And we always said like when we have the assortment in physical marketplace, there will be a lot less. And you make me want to go do the latest math. I mean we know that it went from like 32 to about 18 or 20 over X number of years and do the math again. But I mean I think we went from \$300 million to \$3.5 billion and -- some of it is hospitality and we contract business, and we have Wireworks -- like that -- we believe most of the share came from the higher end and came from like -- it came to the showrooms and they came from the independents, and they came from the regional furniture stores and they came from the Ethan Allen of the world or people like that, and I speak on Ethan Allen or anything. But I mean, Ethan Allen -- that RH earlier days, they were like \$1.2 billion or something. And then we looked up to them. And I think they -- I don't know, if they do today \$500 million or \$600 million or \$700 million. Yes. So there's always going to be this shifting dynamics. They're sometimes hard to measure. But we like how our business has been performing from a market share point of view, and there's enough data to say **we're 1 of the leading share gainers** right now at a certain size, it's actually furniture based, right? Again, there's other people that have a big tabletop business. So they have big accessories business. So they're in seasonal businesses like Halloween and Easter and Christmas. And we're not in any of those businesses anymore. So you got to compare us to the right kind of people.

And so we don't have some of those other businesses that might make us a little less cyclical. There are some of the businesses, I think we exited too far. We ought probably have some more home accessories or some layer designers would like to have more things to complete a home. And so we're considering those things, we used to have a book called the curiosity and we may relaunch that at some point. And you might see us -- I don't know. I wouldn't even rule out would we be in the tabletop business, but just in our own way. And I don't think I want to be in to chase the holiday businesses, but it doesn't mean we can't have beautiful candles that are like our branded stuff. We -- and we can't have like our or made blanket or things like that and that are really high end and aspirational, and would be great guess, and things you really want in your home to identify -- that identify your status and where you are in life.

so we think we build the brand correctly. There's going to be other opportunities like that. But yes, hard -- it's that fragmented, right? It's like not easy to exactly know.

Operator

And that does conclude our question-and-answer session. I'll hand the conference back over to Mr. Gary Friedman for any additional or closing remarks.

Gary G. Friedman *Chairman & CEO*

Great. Thank you, operator. Thank you, everyone, for your interest. I want to thank our teams that bring our brand to life each and every day through our galleries or hospitality or distribution centers or every aspect of the company, everybody in every location around the world and everybody who's -- all of our partners around the world that work so hard to bring these beautiful products to life. We appreciate everyone and your efforts and your collaboration, and we wish everyone -- it's a wonderful holiday and we look forward to talking to you the next year. Thank you.

Operator

Once again, everyone, that does conclude today's conference. We would like to thank you all for your participation today. You may now disconnect.

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